reported that TSP is only available from Morocco and in very limited quantities from Lebanon and Israel, and *** reported that Morocco is the only country that produces TSP. *** reported that the quality of the MAP and 40 rock that Simplot produces is needed in the drill for planting wheat.

*** reported that it believes that "factors other than price are generally not significant in customer's purchasing decisions," but that "***."

Elasticity estimates

U.S. supply elasticity

The domestic supply elasticity for phosphate fertilizers measures the sensitivity of the quantity supplied by U.S. producers to changes in the U.S. market price of phosphate fertilizers. The elasticity of domestic supply depends on several factors, including the level of excess capacity, the ease with which producers can alter capacity, producers' ability to shift to production of other products, the existence of inventories, and the availability of alternate markets for U.S.-produced phosphate fertilizers. Analysis of these factors above indicates that the U.S. industry has the ability to greatly increase or decrease shipments to the U.S. market; an estimate in the range of 5 to 8 is suggested.

U.S. demand elasticity

The U.S. demand elasticity for phosphate fertilizers measures the sensitivity of the overall quantity demanded to a change in the U.S. market price of phosphate fertilizers. This estimate depends on factors discussed above such as the existence, availability, and commercial viability of substitute products, as well as the component share of the phosphate fertilizers in the production of any downstream products. Based on the available information, the aggregate demand for phosphate fertilizers is likely to be moderately inelastic; a range of -0.5 to -1.0 is suggested.

Substitution elasticity

The elasticity of substitution depends upon the extent of product differentiation between the domestic and imported products.[44] Product differentiation, in turn, depends upon such factors as quality (e.g., chemistry, appearance, etc.) and conditions of sale (e.g., availability, sales terms/discounts/promotions, etc.). Based on available information, the elasticity of substitution between U.S.-produced phosphate fertilizers and imported phosphate fertilizers is likely to be in the range of 4 to 6.[45]

[44] The substitution elasticity measures the responsiveness of the relative U.S. consumption levels of the subject imports and the domestic like products to changes in their relative prices. This reflects how easily purchasers switch from the U.S. product to the subject products (or vice versa) when prices change.

[45] Mosaic provided an economic analysis in its prehearing brief that utilized the midpoint of this estimate, though indicated that it believes the elasticity of substitution "to be at the upper end of that range... given the commodity nature of the product and the transparency of prices in the market." Mosaic's prehearing brief, Exhibit 2, pp. 4, 11.

OCP argues that this elasticity is "based on theoretical considerations of the likely interchangeability of domestic and subject import merchandise, not on empirical analysis of actual data from the marketplace, which is especially problematic in a case where in reality the availability of domestic production is limited. The ITC's Office of Economics' most recent estimate of the elasticity of substitution for NAICS code 3253 (Pesticides and fertilizers), under which phosphate fertilizer production is classified, was 2.09, which is one-half to one-third the elasticity estimated in the Prehearing Report. While there may be variations in the elasticity of substitution among the industries covered by the 4-digit NAICS code listed above, this figure nonetheless provides a helpful context for Staff's estimate, and is an important consideration when deciding how much analytical weight to place on Petitioner's calculations using an elasticity of 5. It also has a significant impact on the outcome and reasonableness of Petitioner's analysis, which is sensitive to the assumed substitution elasticity." OCP's posthearing brief, OCP Responses to Q&A, p. 56, Exhibit 11.